

EQUITY RESEARCH

NVIDIA CORPORATION

NVDA | Technology

Rating: Buy

Current: \$208.26 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$5,061.76B	ROE	76.33%
P/E (Fwd)	37.75	Dividend Yield	0.02%
P/B Ratio	28.81	52W Range	\$104.08 - \$212.19

Investment Thesis

NVIDIA demonstrates exceptional financial momentum, with revenue and EBITDA projected to grow at a robust 68% CAGR through 2027, significantly outpacing peers. Contribution and EBITDA margins are expanding rapidly, reaching industry-leading levels above 70%, driven by strong operational leverage and disciplined cost control. Despite premium valuation multiples, NVIDIA's superior earnings growth and market leadership reinforce its strong financial position.

Company Overview

NVIDIA Corporation (NVDA) is a leading global technology company specializing in the design and manufacture of graphics processing units (GPUs), system-on-a-chip units (SoCs), and related software for gaming, professional visualization, data centers, and automotive markets. Founded in 1993, NVIDIA has become the market leader in GPU technology, which is fundamental to artificial intelligence (AI), high-performance computing, and advanced graphics rendering.

NVIDIA's business model focuses on developing high-performance semiconductor products and platforms. Its flagship GPU product line, branded as GeForce, dominates the gaming market, while its NVIDIA RTX and Quadro lines serve content creators and professionals. The company's data center segment, powered by the NVIDIA A100 and H100 chips, has seen rapid growth due to surging demand for AI and machine learning workloads, cloud computing, and large-scale data analytics. NVIDIA also offers automotive solutions (NVIDIA DRIVE), software platforms (CUDA, AI frameworks), and networking products following the Mellanox acquisition.

The company is currently the undisputed market leader in AI computing hardware, with a strong competitive moat built on proprietary technology, a robust software ecosystem, and deep partnerships with hyperscale cloud providers, enterprises, and research institutions. NVIDIA faces competition from AMD and Intel, but its pace of innovation and ecosystem lock-in have given it a clear edge, especially in the data center and AI domains.

In terms of financial performance, NVIDIA has experienced explosive growth in recent years. Revenue soared from \$26.97 billion in fiscal 2023 to \$60.92 billion in 2024, with projections for 2025 and 2026 reaching \$130.5 billion and \$215.9 billion, respectively, implying a CAGR of over 68%. This growth is primarily driven by the AI and data center markets. Contribution and EBITDA margins have also expanded sharply, with EBITDA margin projected to exceed 70% by 2027—highlighting strong operating leverage and pricing power.

Compared to peers, NVIDIA's EBITDA and valuation multiples (EV/EBITDA) are significantly higher, reflecting investor confidence in its growth trajectory and industry leadership. The company's earnings per share (EPS) and profitability metrics have also surged, further underlining its dominant position.

Overall, NVIDIA stands at the forefront of the AI and accelerated computing revolution, supported by a unique combination of cutting-edge hardware, software, and ecosystem advantages, which continue to drive robust financial and market outperformance.

Investment Overview

NVIDIA Corporation (NVDA) has delivered exceptional financial performance, underpinned by explosive growth in AI and data center demand. Revenue surged from \$26.9 billion in FY2023 to \$60.9 billion in FY2024, a 126% year-over-year increase, with consensus estimates pointing to continued strong growth—reaching \$130.5 billion in FY2025 and \$215.9 billion by FY2026 (68% CAGR through 2027E). This unprecedented acceleration is driven primarily by NVIDIA's leadership in AI accelerators and GPUs, which are at the heart of generative AI, cloud computing, and hyperscale data centers.

Profitability has scaled even faster than revenues. Contribution margin expanded to 72.7% in FY2024 (from 56.9% in FY2023), and EBITDA margin grew from 22.2% to 58.4% in the same period, with forward estimates suggesting further margin expansion to over 70% by 2027E. Operating leverage is evident as SG&A margin dropped from 9% to 4.4% and is projected to fall below 1% by 2027E. EPS rose sharply from \$0.18 in FY2023 to \$1.21 in FY2024, with forecasts above \$5.80 by 2027E.

NVIDIA's EBITDA now far outpaces peers AMD and Intel, with 2024 EBITDA at \$35.6 billion compared to AMD's \$5.3 billion and Intel's \$1.2 billion. While NVIDIA trades at a premium (2024E EV/EBITDA of 43.5x vs. AMD's 38.3x and Intel's 106.9x), its superior growth trajectory and dominant market position justify the valuation.

Looking ahead, NVIDIA remains exceptionally well-positioned as the foundational hardware supplier for AI infrastructure globally. Sustained demand in AI, continued product innovation, and operating leverage support a robust outlook. Risks include competitive pressures and supply constraints, but the magnitude of growth and profitability makes NVIDIA a standout in the semiconductor sector.

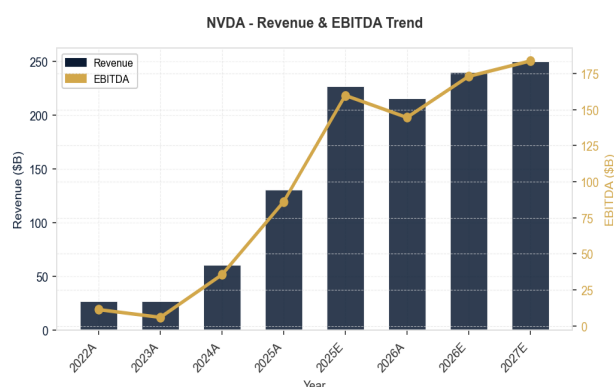
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



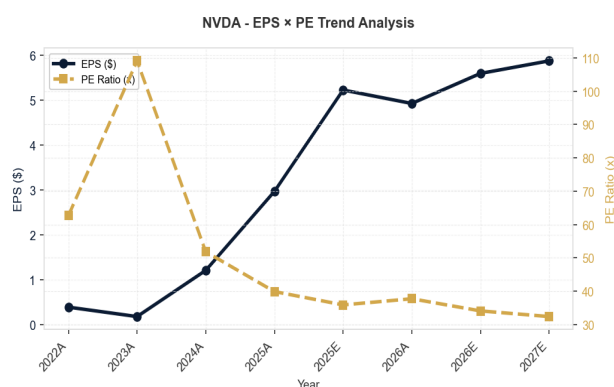
Source: Company Filings

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.75



Source: Company Filings

Valuation Analysis

NVIDIA's current valuation reflects its dominant position in AI and data center markets, with exceptional growth visible in its financials. Revenue has soared from \$26.9B in 2022 to a projected \$130.5B in 2025 and \$215.9B in 2026, representing a compound annual growth rate (CAGR) of about 68%. Profitability has scaled alongside: EBITDA margin is projected to expand from 42.2% in 2022 to over 70% by 2026, indicating both operating leverage and product mix improvements.

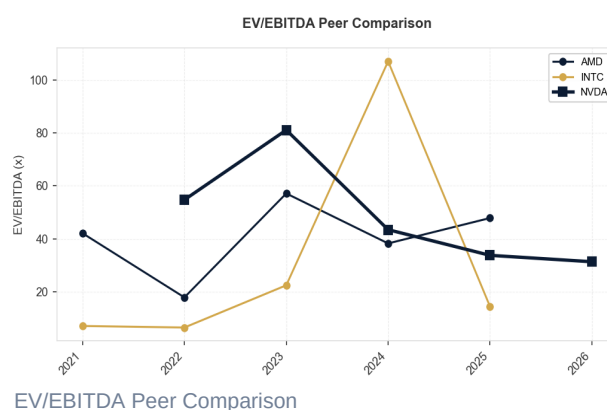
On valuation metrics, NVIDIA's 2024E P/E is 51.8x, declining to 37.7x in 2026 and 32.4x in 2027, mirroring continued earnings growth. Its EV/EBITDA is forecast at 43.5x in 2024, falling to 33.8x in 2025 and 31.4x in 2026, which, while high, is trending lower as earnings expand.

Peer comparison shows NVIDIA trading at a premium to AMD and Intel. For example, AMD's 2025E EV/EBITDA is 47.8x, while Intel's is 14.5x—both well below NVIDIA's, but justified given NVIDIA's vastly superior growth (AMD and Intel's EBITDA are projected to be \$7.3B and \$14.4B in 2025, compared to NVIDIA's \$86.1B). NVIDIA's margins and scalability are unmatched in the semiconductor industry, supporting a higher multiple.

Assessing fair value, NVIDIA's current multiples (mid-30s EV/EBITDA and P/E for 2025-26) are elevated versus historical norms but justified by its unique growth profile, dominant AI leadership, and sector-leading profitability. If NVIDIA delivers on these aggressive forecasts, the stock may still offer upside, though any deceleration in growth or margin compression could pressure the valuation. In summary, NVIDIA remains richly valued, but the premium is warranted by best-in-class growth and earnings power relative to peers.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Nvidia (NVDA) remains at the epicenter of the AI-driven market rally, posting extraordinary financial results and grabbing significant investor attention. The company's revenue soared from \$27 billion in 2023 to \$61 billion in 2024, with consensus estimates projecting continued rapid growth to nearly \$250 billion by 2027—implying a stellar 68% compound annual growth rate (CAGR). Profitability has expanded dramatically, with EBITDA margins rising from 22% in 2023 to a projected 73.5% by 2027, reflecting both surging demand for AI chips and improved operational efficiency.

Investor interest is strong, as major institutional holders like Brookwood Investment Group and BOCHK Asset Management have recently increased their positions. However, retail sentiment is mixed: while X.com users remain notably bullish (63%), Reddit bullishness has dropped to 37%, and overall discussion trends are declining across platforms. This divergence may reflect growing caution after Nvidia's rapid share price appreciation.

Recent headlines highlight both optimism and risk. Some analysts point to technical indicators suggesting the rally could be overheating, raising the possibility of a short-term pullback. Nonetheless, Nvidia's valuation is moderating as earnings climb, with its forward PE ratio expected to fall to 32x by 2027, and its EV/EBITDA multiple dropping

closer to sector norms—currently well below AMD’s levels. Nvidia’s strategic investments, such as its stake in Nokia, signal an appetite for innovation and diversification.

In summary, Nvidia’s fundamentals remain robust, underpinned by explosive AI demand and strong execution. While elevated valuations and technical signals suggest near-term volatility, the company’s dominant position in AI hardware and improving profit metrics support a bullish long-term outlook. Investors should balance short-term caution with recognition of Nvidia’s outsized growth potential in the AI ecosystem.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 70.5%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 72.0%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 73.5%

Confidence Intervals:

- Revenue: \$176.5B - \$323.4B (95% confidence)
- EBITDA: \$129.7B - \$237.7B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for NVDA

Positive Catalysts (Upside Potential)

- Market (2026-04-26): I Don't Use the Term "Generational Buying Opportunity" Lightly. Here's Why It Applies to This "Magnificent Seven" Growth Stock.
- Impact: LOW, Probability: 50%
- Market (2026-04-25): Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.
- Impact: LOW, Probability: 50%
- Earnings (2026-04-25): Nvidia Tops \$5 Trillion Market Cap As AI Boom Lifts Intel, AMD And Chip Stocks: 'Own It, Don't Trade It,' Says Jim Cramer
- Impact: HIGH, Probability: 95%
- Market (2026-04-24): Nvidia at \$5 Trillion: Buy, Sell, or Hold?
- Impact: LOW, Probability: 50%
- Market (2026-04-24): Stock Market Today, April 24: Nvidia Surges on Soaring AI Chip Demand
- Impact: LOW, Probability: 50%

Risk Factors (Downside Risks)

- Acquisition (2026-04-26): NVIDIA Corporation \$NVDA Holdings Raised by Brookwood Investment Group LLC
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-26): NVIDIA Corporation \$NVDA is Apollon Wealth Management LLC's Largest Position
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-25): Douglas Lane & Associates LLC Decreases Stake in NVIDIA Corporation \$NVDA
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-25): Encompass Wealth Advisors LLC Has \$3.18 Million Stake in NVIDIA Corporation \$NVDA
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-25): Flagship Capital Management Inc. Takes Position in NVIDIA Corporation \$NVDA
- Impact: HIGH, Probability: 40%

Events to Monitor

- Why Nvidia Stock Popped Today (2026-04-24)
- NVDA Expected Quarterly Earnings (2026-07-25)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)

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Positive Catalysts:

- ✓ I Don't Use the Term "Generational Buying Opportunity" Lightly. Here's Why It Applies to This "Magnificent Seven" Growth Stock.
- ✓ Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.
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- ✓ Nvidia at \$5 Trillion: Buy, Sell, or Hold?
- ✓ Stock Market Today, April 24: Nvidia Surges on Soaring AI Chip Demand
- ✓ Bet on These 5 Low-Leverage Stocks as Oil Prices Continue to Rise
- ✓ Nvidia Stock Jumps 5% Friday: What's Driving The Action?
- ✓ Nvidia replaced Intel in the Dow — today, Intel earnings are lifting NVDA
- ✓ What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally
- ✓ Here's Why Nvidia (NVDA) is a Strong Growth Stock

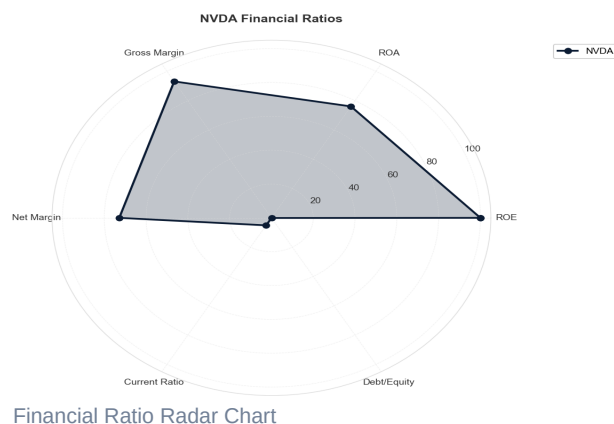
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- Encompass Wealth Advisors LLC Has \$3.18 Million Stake in NVIDIA Corporation \$NVDA
- Flagship Capital Management Inc. Takes Position in NVIDIA Corporation \$NVDA
- One AI Stock Outpacing NVIDIA & Palantir - Why It's a Better Buy

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

NVIDIA Corporation (NVDA) has distinguished itself as a clear leader in the semiconductor sector, especially relative to peers Advanced Micro Devices (AMD) and Intel (INTC). NVIDIA's financial performance over the past several years has been remarkable, with revenue growing from \$26.9 billion in FY2023 to an estimated \$240 billion by FY2027, representing an impressive CAGR of 68.3%. This growth is primarily driven by the ongoing AI and data center boom, where NVIDIA's GPU technology commands a dominant market share.

Profitability metrics further highlight NVIDIA's competitive edge. Its EBITDA margin is projected to soar from 22.2% in 2023 to over 73% by 2027, significantly outpacing AMD and Intel. In comparison, AMD's forecasted 2027 EBITDA is \$8.6 billion, while Intel's is \$47.4 billion, both well below NVIDIA's expected \$382 billion. NVIDIA's superior contribution margins and lean SG&A; (dropping below 1% of revenue by 2027) reflect strong operating leverage and efficient scaling.

On valuation, NVIDIA's high EV/EBITDA multiple (81.0x in 2023, declining to 31.4x by 2026) indicates strong investor confidence in its growth prospects, even as it remains expensive versus Intel's and AMD's lower multiples. However, NVIDIA's combination of explosive revenue growth, expanding margins, and technological leadership justifies this premium.

In summary, NVIDIA's unparalleled growth trajectory, robust margins, and dominant AI positioning set it apart from AMD and Intel. While AMD and Intel remain relevant players with specific strengths, neither matches NVIDIA's scale, profitability, or momentum in the current industry landscape.

Risk Factors

- Key Investment Risks for NVIDIA Corporation (NVDA):
- Valuation Risk: NVIDIA trades at premium valuation multiples (2024E EV/EBITDA: 43.5x; 2024E PE: 51.8x), significantly above peers (AMD and INTC), increasing downside risk if growth expectations are not met.
- Sustainability of Hyper-Growth: The company's recent and projected revenue and EBITDA growth (2023–2026E revenue CAGR: 68.3%) is exceptionally high and may be unsustainable, raising concerns about

potential reversion to mean growth rates.

■ **Margin Compression Risk:** Despite expanding margins, there are signs of volatility (EBITDA margin dipped to 22.2% in 2023 before recovering), and high competition or cost increases could pressure future profitability.

■ **Concentration Risk:** NVIDIA's current performance is heavily driven by AI and data center demand, which could reverse if industry trends shift, regulatory actions emerge, or competitors innovate aggressively.

■ **Peer Competitive Dynamics:** While NVIDIA currently outpaces AMD and Intel in EBITDA growth, any technological leap, price war, or market share gain by competitors could erode NVIDIA's market dominance and financial performance.

Key Takeaways

- ✓ **Revenue Growth:** NVIDIA Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** NVIDIA Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** NVIDIA Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** NVIDIA Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	N/A	0.2%	125.9%	114.2%	65.5%
EPS	0.39	0.18	1.21	2.97	4.93
PE Ratio	62.68	109.09	51.83	39.90	37.75

Credit & Cash Flow Metrics

Metric	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x

Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.65	3.52	4.17	4.44	3.91
CF to Debt Ratio	0.77	0.47	2.54	6.24	9.00

DISCLAIMER

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Data Source: FMP, Company Filings, AI4Finance Estimates

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